Risk Factors & Disclaimers

Effective Date: 09/12/2025
Last Updated: 09/12/2025

Participation in the NexusWealth ecosystem, including the purchase or use of NWIS tokens, involves significant risks. Prospective participants should carefully read this section before engaging with the platform, DAO, or token offerings.

By accessing or using our Services, you acknowledge and accept the following risks and disclaimers.

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1. Regulatory and Legal Risks

- **Evolving Regulations**: Blockchain and cryptocurrency laws are rapidly changing. Regulatory actions or legislative changes could restrict or alter the use, sale, or transfer of NWIS tokens.
- **Jurisdictional Restrictions**: Token offerings are conducted under **Regulation D (U.S.)** and **Regulation S (non-U.S.)** exemptions. Unauthorized participation in prohibited jurisdictions may lead to legal consequences for the participant.
- **Classification Risk**: Regulatory authorities could classify NWIS tokens as securities, commodities, or other regulated instruments despite compliance efforts, impacting secondary trading or liquidity.

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2. Market and Financial Risks

- **Price Volatility**: Digital asset markets are highly volatile. NWIS tokens or underlying asset tokens may lose significant value over time.
- **Liquidity Risk**: There may be limited secondary market availability for NWIS tokens, restricting the ability to sell or exchange tokens.
- **Economic Conditions**: Macroeconomic factors such as inflation, interest rates, or geopolitical events could negatively impact token valuations or asset performance.

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3. Operational and Platform Risks

- **Technology Failures**: Smart contract vulnerabilities, blockchain network outages, or cyberattacks may result in the loss or compromise of funds.
- **Treasury Mismanagement**: DAO-controlled treasuries rely on community voting and multi-sig signers. Poor governance decisions could lead to financial losses or misallocation of funds.
- **Third-Party Dependencies**: Platform security and availability rely on third-party vendors, including cloud providers, KYC/AML services, and liquidity partners.

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4. DAO Governance Risks

- **Voting Concentration**: Large token holders may disproportionately influence governance decisions.
- **Low Participation**: Lack of quorum or limited voter turnout could lead to governance deadlock or ineffective proposals.
- **Proposal Execution Risks**: Approved proposals involving treasury funds or platform changes carry operational and financial risks if not properly audited or implemented.

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5. Compliance and Tax Risks

- **KYC/AML Requirements**: Participants must comply with identity verification and anti-money laundering regulations; failure to do so may result in account restrictions.
- **Tax Obligations**: Token holders are responsible for determining and complying with tax obligations in their jurisdictions regarding token ownership, transactions, or gains.

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6. No Investment or Financial Advice

- NWIS tokens **do not represent equity, debt, or ownership rights** in NexusWealth LLC, the BVI Foundation, or affiliated entities.

- All information provided by NexusWealth is for **informational purposes only** and should not be construed as financial, legal, or tax advice.
- Participants should seek independent professional advice before engaging in token transactions or investment activities.

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7. Forward-Looking Statements Disclaimer

The whitepaper and website may contain forward-looking statements regarding project development, ecosystem growth, or token performance. These statements are based on current expectations and are subject to risks, uncertainties, and assumptions. Actual results may differ materially.

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8. Limitation of Liability

To the fullest extent permitted by law, NexusWealth, the BVI Foundation, its affiliates, and service providers disclaim all liability for:

- Losses arising from token purchases, governance decisions, or market fluctuations.
- Damages caused by unauthorized access, hacking, or smart contract vulnerabilities.
- Regulatory changes affecting token legality or tradability.